Q2 Wage Price Index: steady

#wages #inflation #labour

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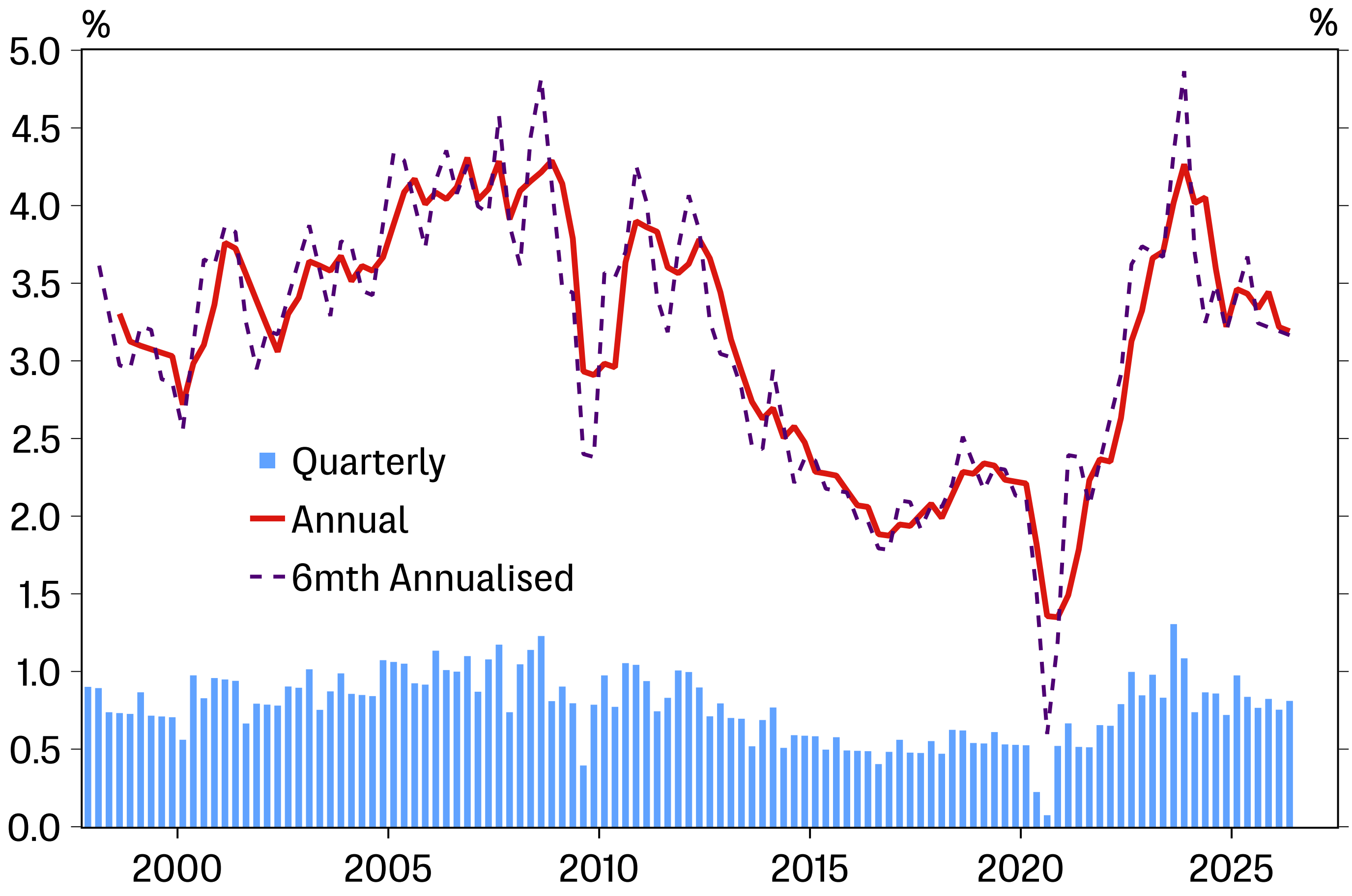
Share

Private wages continue to decelerate while public wages provide a bit of an offset, before the award wage lift in Q3. Q2 2026: 0.8%qtr, 3.2%yr.

- The Wage Price Index (WPI) rose 0.8% in Q2 2026, in line with Westpac's forecast and the market consensus. Wages growth is softer than in 2025, when the bump higher in public sector wages brought annual growth closer to the 3½% mark; at 3.2%yr, wages growth is currently tracking slightly below the RBA's forecast (3.3%yr).

- Overall, the mix was broadly as expected. Private sector wages have continued to decelerate to its softest pace since Q4 2021, in line with a softer labour market. Meanwhile, public sector wages provided a bit of an offset, with the ABS noting gains from government public service jobs and scheduled rises under the existing APS-wide enterprise agreement for Commonwealth employees.
- Q3's result will be closely watched, as it will capture the Fair Work Commission's 2026 Annual Wage Review which handed down a larger-than-expected increase in award wages of 4.75%. Our base case is that wages growth will nudge back up to 3.4%yr but whether a higher pace can be sustained will depend on how the labour market evolves from here – the recent sharp rise in underemployment is a key signal to watch going forward.

Wages growth not a concern for inflation at present



Source: ABS, Macrobond, Westpac Economics

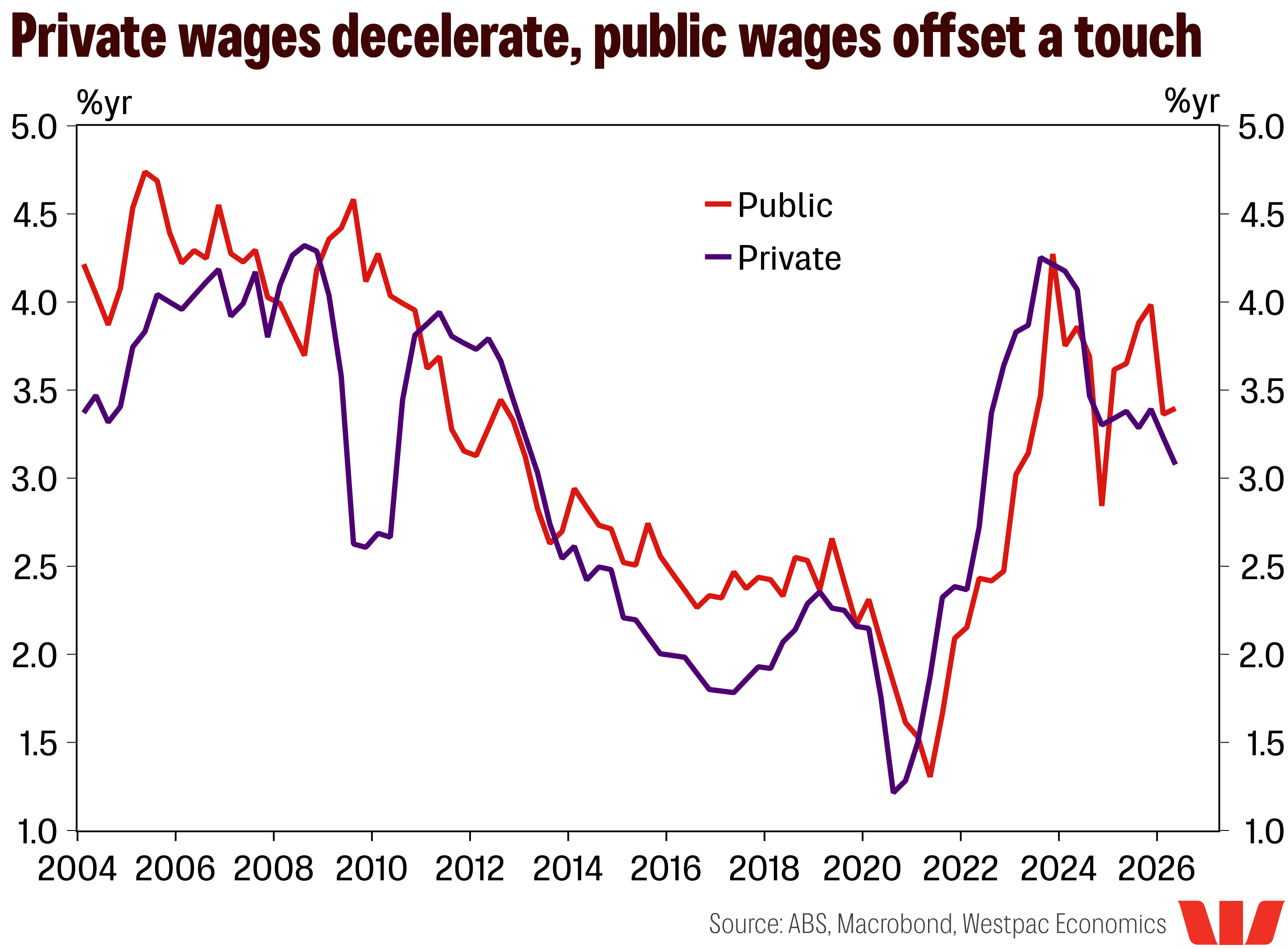
Wages by Sector

By sector, private wages (excl. bonuses) have continued to decelerate. In Q2, private wages grew by 0.7%, the smallest quarterly gain since the Q4 2021, during the 'delta' outbreak of COVID-19. This leaves the annual pace at 3.1%yr, down from 3.4%yr six months ago. This is in line with the evidence of a softer labour market over the first half of this year. Most notably, a sharp rise in underemployment has surfaced over recent months, likely tied to added pressure from the cost-of-living and interest rate rises, causing more people to seek extra hours of work.

Compared to the same quarter a year ago, the private sector saw a smaller share of jobs record a wage increase (10% vs. 12%), but of those jobs, they recorded around the same average hourly wage increase (3.9%).

Public wages provided a bit of an offset to the private sector in the quarter, gaining 0.9% in Q2, echoing the solid momentum from this time last year, allowing the annual rate hold steady at 3.4%yr. The ABS noted the main driver of the gain were state government public service jobs, in addition to "scheduled rises paid under the existing APS-wide enterprise agreement for Commonwealth employees."

Interestingly, compared to the same quarter a year ago, there was a larger proportion of jobs in the public sector that recorded a wage increase (25% vs. 20%), but of those jobs, they recorded a smaller average hourly wage change (3.1% vs. 3.5%). This speaks to a broader base of wages growth across the public sector at present, compared to last year's public sector wage gains which were led by specific state-based enterprise agreements and an increase in aged care wages.



Industry

The contribution from public sector wages was clearly apparent in the industry data. In the quarter, public administration and safety was the largest contributor to aggregate wages growth – impressively, this matched the contribution from health care and social services, Australia's largest industry with around three-times as many jobs as public administration and safety.

Across the individual industries, health care and social assistance is still leading the pack in terms of annual wages growth (3.8%yr), followed by public administration and safety (3.6%yr) and utilities (3.6%yr), then mining (3.5%yr) and transport, postal and warehousing (3.5%yr). The main laggards are those industries dominated by private sector jobs, including professional, scientific and technical services (2.5%yr), financial and insurance services (2.7%yr) and administrative and support services (2.7%yr).

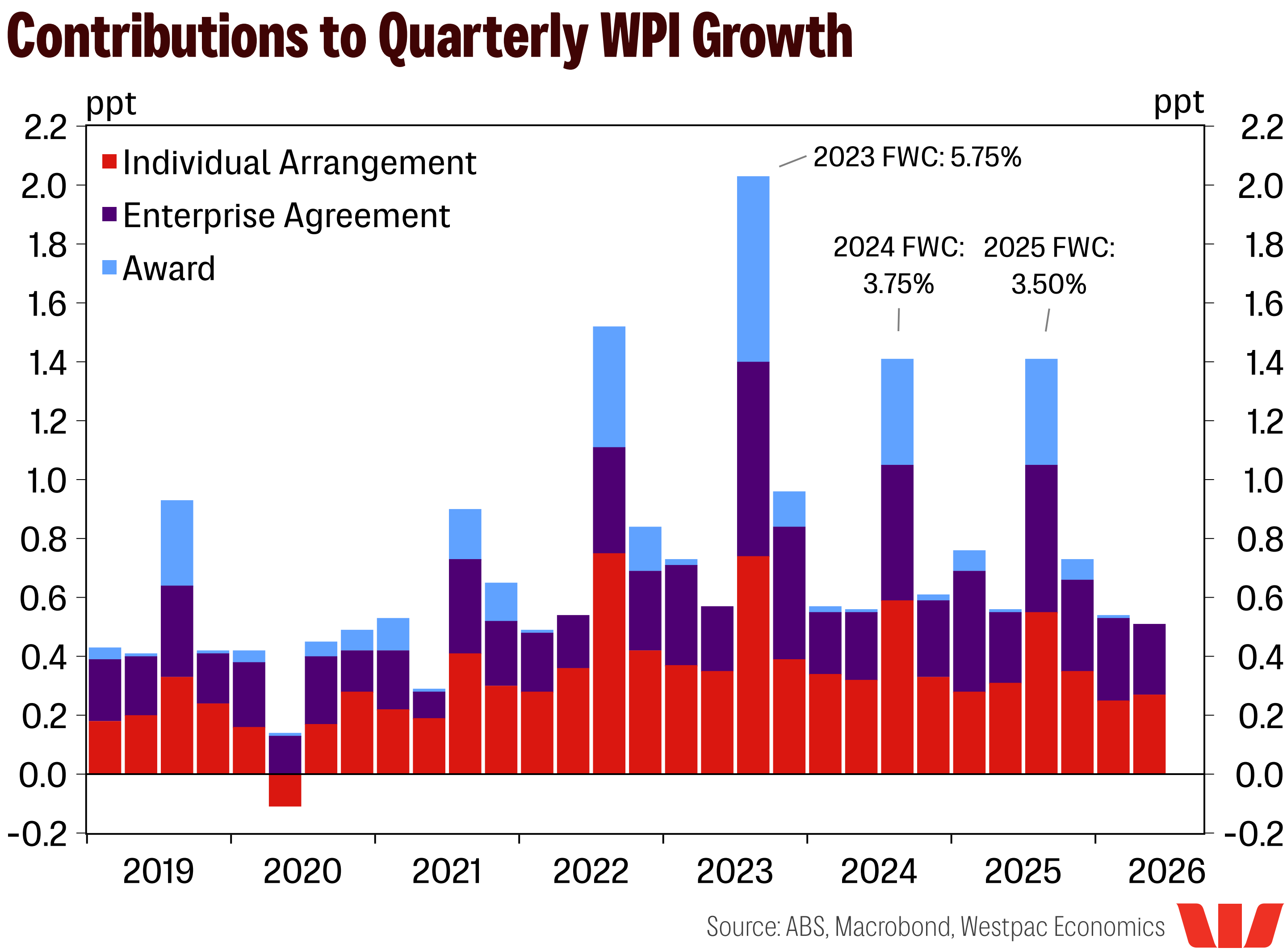
Bargaining Stream

Westpac has long believed focusing on wage inflation by wage bargaining stream can help to understand how wages respond to the economic cycle. Long term readers would know that the Australian labour market is split into three categories of pay setting methods:

- Awards,
- Enterprise agreements, or
- Individual arrangements.

In original terms, the WPI lifted 0.6% in Q2 2026. Of that 0.6% increase, jobs covered by individual arrangements made the largest contribution at 0.27ppt, followed by 0.24ppt from enterprise arrangements, and zero for awards. Compared to this time last year, we can see there has been a continued, gradual slowing in individual arrangements, while the contribution from enterprise arrangements have been relatively more stable.

The largest share of Australian wage adjustments tends to occur in Q3, with July being the start of the new financial year. This result will be closely watched, as it will capture the Fair Work Commission's 2026 Annual Wage Review which handed down a larger-than-expected increase in award wages of 4.75%. Our base case is that this should nudge wages growth back up to 3.4%yr but whether a higher pace can be sustained will depend how the labour market evolves from here. There has been a sharp rise in underemployment in recent months, and this may well be signalling a weaker labour market to come, which may limit bargaining power and dampen the rise in wages growth.



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